9. The MPC is equal to :

a) Total spending / total consumption

b) Total consumption/total income

c) Change in consumption /change in income

d) none of the above.

10. The relationship between total spending on consumption and the total income is the _____

a) Consumption function

b) Savings function

c) Investment function

d) aggregate demand function

11. The sum of the MPC and MPS is _____

a)1

b) 2

c) 0.1

d) 1.1

12. As income increases, consumption will _____

a)fall

b) not change

c) fluctuate

d) increase

13. When investment is assumed autonomous the slope of the AD schedule is determined by the _____

a) marginal propensity to invest

b) disposable income

c) marginal propensity to consume

d) average propensity to consume

14. The multiplier tells us how much _____ changes after a shift in _____

a) Consumption , income

b) investment, output

c) savings, investment

d) output, aggregate demand

15. The multiplier is calculated as

a) 1/(1-MPC)

b) 1/MPS

c) 1/MPC

d) a and b

16. It the MPC is 0.5, the multiplier is _____

a) 2

b)1/2

c) 0.2

d) 20

17. In an open economy import _____ the value of the multiplier

a) Reduces

b) increase

c) does not change

d) changes

18. According to Keynes, investment is a function of the MEC and _____

a) Demand

b) Supply

c) Income

d) Rate of interest

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